

Korea Daily Brief

Friday, September 18, 2026

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RE: Lee rules out Iran troop deployment · Kim Yo Jong vows nuclear buildup · \$350B bond float mulled · DPRK vice FM heads to UNGA

KOSPI
6,894.23
▲ +2.7%

USD/KRW
1,385.98
▲ +0.7%

BRENT
\$98.55
▼ -6.0%

BOK RATE
2.50%
Sep 2026

• TODAY AT A GLANCE

- 1 President Lee Jae-myung ruled out any combat troop deployment to the Middle East at a press conference, while leaving open a possible non-combat Hormuz contribution amid US pressure.
- 2 Kim Yo Jong vowed 'more offensive' nuclear responses to US-led Pacific drills in a new KCNA statement, as DPRK Vice Defense Minister Kim Kang Il pledged closer military cooperation with China at the Beijing Xiangshan Forum.
- 3 The Korea-US Strategic Investment Corporation is mulling a debut bond issuance to finance the \$350B pledge, with Texas power plant and nuclear projects under active discussion as part of Seoul's US investment package.

• TOP STORIES

US-KOREA

Lee rules out combat deployment to Middle East, holds open non-combat Hormuz role

President **Lee Jae-myung** told a press conference that South Korea will not dispatch troops in any manner that could lead to involvement in an overseas armed conflict, directly refusing US pressure for a military role in Middle East operations. Lee said Seoul is reviewing a possible non-combat contribution to the Strait of Hormuz and separately confirmed he has no intention of pursuing a constitutional amendment that would allow him to seek reelection. FM **Cho Hyun** is in Washington this week meeting Secretary Rubio, with Hormuz and the investment deal both on the agenda.

Yonhap EN · Reuters · NYT · NK News, Sep 18

DPRK

Kim Yo Jong vows 'more offensive' nuclear response to US-led Pacific drills; DPRK vice defense minister pledges closer China military cooperation at Beijing forum

Kim Yo Jong published a KCNA statement warning that North Korea may take 'more offensive' actions against US-led multinational military exercises and declared there will 'never ever' be a change in DPRK

nuclear deterrent efforts. Separately, Vice Defense Minister **Kim Kang Il** told the 13th Beijing Xiangshan Forum that the DPRK's nuclear status is 'irreversible' and pledged closer military cooperation with China, calling US military posture 'reckless.' Kim Jong Un remains absent from state media for ten days since the Sep 8 Kang Kon commissioning.

NK News · Reuters · Bloomberg · Yonhap EN, Sep 18

US-KOREA

Korea-US Strategic Investment Corporation mulls debut bond issuance for \$350B pledge

The Korea-US Strategic Investment Corporation, established under the Special Investment Act passed March 12, 2026, is considering launching its first bond to finance the \$350 billion US investment pledge. Texas power plant and nuclear energy projects are simultaneously under active discussion as components of Seoul's US investment package, per Reuters. The bond float would be the corporation's first capital markets transaction since its formation.

Bloomberg · Reuters, Sep 18

OVERNIGHT

NK-RUSSIA-CHINA	North Korea Sends Women to Russian Factories in Line of Ukrainian Fire · WSJ WSJ reports North Korean women deployed to Russian factories in active conflict zones.
DPRK	North Korean vice foreign minister to attend UN General Assembly next week · Reuters Vice FM Kim Son-gyong attending; first senior DPRK presence at UNGA this cycle.
US-KOREA	Texas power plant, nuclear projects under discussion in South Korea's US investment package · Reuters Energy and nuclear assets now part of Seoul's \$350B-related US investment discussions.
DPRK	A boat towed by a North Korean cargo ship sinks off Japan's northwestern coast, 1 missing · Washington Post Vessel sank off Japan's coast; one person missing.
US-KOREA	South Korea set to approve abortion pills for the first time next year · Washington Post Regulatory approval pathway for abortion medication advancing for 2027 implementation.
CHINA-KOREA	Supreme Court upholds 4-year prison term for ex-soldier for selling military secrets to China · Yonhap English Final conviction upheld; espionage for Beijing confirmed at highest court level.

STAT OF THE DAY

1,400

Earthquakes near DPRK nuclear test site since 2017 test

CNN and Yonhap report that nearly 1,400 seismic events have been detected near North Korea's nuclear test site, underscoring the geological consequences of DPRK nuclear testing as Punggye-ri remains at test-ready status.

Yonhap / CNN (Sep 18, 2026)

PYONGYANG WATCH · KCNA

KIM JONG UN

WATCH FLAG

● **No appearance (10d since last)**

TOP KCNA ARTICLES

1. **Kim Yo Jong warns of stronger, more offensive response to US-led Pacific drills**

Kim Yo Jong issued a KCNA statement declaring North Korea may take 'more offensive' actions against US-led multinational exercises and vowing nuclear deterrent buildup will 'never ever' stop. — KCNA (Reuters)

2. **North Korea's vice defense minister justifies nuclear arsenal at Chinese defense forum**

Vice Defense Minister Kim Kang Il told the 13th Beijing Xiangshan Forum that DPRK nuclear status is 'irreversible' and pledged closer military cooperation with China, calling US posture 'reckless.' — KCNA (Yonhap)

3. **North Korea says US-led arms buildup justifies expanding nuclear force**

KCNA issued a statement asserting that the US-led arms buildup provides justification for DPRK nuclear force expansion. — KCNA (Reuters)

SENIOR OFFICIALS

Kim Yo Jong · First Deputy Department Director, Workers' Party of Korea

Issued KCNA statement threatening 'more offensive' DPRK responses to US-led Pacific drills and reaffirming permanent nuclear deterrent growth.

Kim Kang Il · Vice Defense Minister, DPRK

Addressed the 13th Beijing Xiangshan Forum, declaring DPRK nuclear status 'irreversible' and pledging closer military cooperation with China.

Bottom line: Kim Yo Jong's 'more offensive' nuclear threat and Kim Kang Il's Beijing Xiangshan pledge of China military cooperation mark a dual-track DPRK escalation posture as Kim Jong Un enters day 10 of media absence; watch Punggye-ri and KCNA output ahead of DPRK Vice FM Kim Son-gyong's UNGA appearance next week.

● **ROK GOVERNMENT**

President + Ministries · Friday, September 18, 2026

청와대 · BLUE HOUSE / PRESIDENT'S OFFICE

Lee rules out combat troop deployment; holds open non-combat Hormuz contribution

President Lee Jae-myung

청와대 · BLUE HOUSE / PRESIDENT'S OFFICE

Lee says Seoul conducting behind-the-scenes coordination for Trump-Kim dialogue

President Lee Jae-myung

At a press conference, President Lee Jae-myung stated there would be no troop dispatch that could lead to involvement in an overseas armed conflict, directly rejecting US pressure for a military role in Middle East operations. Lee said Seoul is reviewing a possible non-combat contribution to Hormuz and separately confirmed he will not seek reelection via constitutional revision.

Primary [Yonhap EN ↗](#)

외교부 · MINISTRY OF FOREIGN AFFAIRS

FM Cho meets US lawmakers in Washington ahead of Rubio talks

FM Cho Hyun

Foreign Minister Cho Hyun met with US lawmakers to discuss alliance matters and regional security as part of his Washington visit, preceding his scheduled meeting with Secretary Rubio covering investment deal implementation, Hormuz, and North Korea.

Primary [Yonhap EN ↗](#)

Lee stated at his press conference that South Korea is 'continuing behind-the-scenes coordination to help create an opening' for US-DPRK dialogue, while acknowledging North Korea is 'clearly refusing' to communicate with Seoul. He said Korea-passing concerns are unwarranted and that Trump wants dialogue.

Primary [NK News ↗](#)

PERSONNEL CHANGES

Kim Sung-su **APPOINTED**

Supreme Court Justice

President Lee Jae-myung approved the appointment of Kim Sung-su (57, Judicial Research and Training Institute class 24) as Supreme Court Justice on September 18, filling one of two current court vacancies eleven days after a previous justice retired. Kim Sung-su is the first Supreme Court justice appointed under the Lee Jae-myung government.

Replaces: Lee Heung-gu (retired Sep 7, 2026)

NATIONAL ASSEMBLY

DP and other lawmakers propose resolution calling for DPRK-US summit

National Assembly (plenary)

Ruling Democratic Party lawmakers and others introduced a resolution calling for resumption of dialogue between North Korean leader Kim Jong Un and US President Trump, coinciding with President Lee's press conference statement on Seoul's behind-the-scenes coordination role.

First confirmation hearing for special inspector nominee in 11 years

National Assembly confirmation hearing

A parliamentary confirmation hearing was held for a special inspector general nominee, the first such hearing in eleven years.

Steel and aluminum remain at 50% and autos at 15%, both under Section 232. The Section 122 surcharge (10%) expired July 24, so there is no baseline reciprocal tariff in force. Section 301 is now the primary prospective legal vehicle for any new measure against South Korea.

TARIFFS

EXPIRED

Section 122 surcharge lapsed Jul 24; Section 301 now the primary tariff vehicle; sector 232 rates still in force.

WATCH THIS DATE
next trigger: Section 301 determination — pending, no fixed date

SECTOR RATES		
Steel & Aluminum	SECTION 232	50%
Copper	SECTION 232	50%
Automobiles & Auto Parts	SECTION 232	15%
Timber / Lumber / Wood Derivatives	SECTION 232	15%
Semiconductors (advanced logic)	SECTION 232 (PROCLAMATION 11002)	25%
Pharmaceuticals	SECTION 232	up to 15%
Civil Aircraft & Parts	US-KOREA DEAL	0%
Generic Pharma / Precursors / Rare Natural Resources	ALIGNED PARTNERS LIST	0%

NEW THIS WEEK

Texas power plant, nuclear projects under discussion in South Korea's US investment package
New deal
Texas power plant and nuclear energy projects are under active discussion as components of Seoul's US investment package, adding an energy dimension to the \$350B pledge framework.
ROK GOVERNMENT / US ENERGY SECTOR · REUTERS

FULL TRADE REFERENCE →

Investment ledger, pledge tracker and standing policy measures.

• BUSINESS & ECONOMY

MACRO · YONHAP ENGLISH
Seoul stocks soar over 2 percent on eased inflation worries
The KOSPI rose 2.66% on Friday, closing at 6,894.23, as investors responded to eased inflation concerns following the BOJ's expected rate decision. Foreign investors ended seven months of net selling of Korean

equities in August, per a concurrent BOK report.

FINANCE · NIKKEI

Taiwan dollar, South Korean won strong among Asia currencies as AI booms

The Korean won and Taiwan dollar are outperforming regional peers, with Citi's Korea trading head separately recommending long KRW positions near 1,400 per dollar. AI-sector investment flows are credited as a structural support for both currencies.

TECH · YONHAP ENGLISH

Samsung Exynos chipset market share rises to 9 percent in Q2

Samsung Electronics' Exynos application processors gained market share in Q2 2026, reaching 9% of the global mobile chipset market. The recovery is relevant to Samsung's broader foundry ambitions and its competition with Qualcomm in the premium smartphone segment.

Samsung Electronics

• NORTHEAST ASIA WATCH

CHINA-KOREA · CHINA-DIPLOMATIC · NK NEWS

North Korean official rebukes US, defends nukes during international conference in China

DPRK Vice Defense Minister Kim Kang Il used the 13th Beijing Xiangshan Forum to declare the nuclear arsenal 'irreversible,' pledge closer PRC-DPRK military cooperation, and attack US military posture — the most senior DPRK military official appearance at a Chinese security forum in recent years. The Xiangshan Forum is China's premier defense diplomacy event; DPRK participation signals Pyongyang's public alignment with the China security architecture.

CHINA-KOREA · CHINA-TRADE · YONHAP ENGLISH

US expected to delay new excess capacity tariff announcement until after Trump-Xi summit

Washington is holding back new excess-capacity tariff announcements pending a Trump-Xi summit, according to a Yonhap report citing Washington sources. South Korea, which has significant steel and manufacturing export exposure, would be collateral beneficiary of any US-China trade deceleration.

CHINA-KOREA · CHINA-DIPLOMATIC · YONHAP ENGLISH

China may not block US-North Korea diplomacy but unlikely to play central role: ex-US diplomat

A former US diplomat told Yonhap that Beijing is unlikely to obstruct a resumption of US-DPRK dialogue but is also not positioned to play a central facilitation role, a posture consistent with China's approach during the 2018-2019 Trump-Kim summit process.

• PUBLIC SENTIMENT

37%

▼ 1 pts vs 2026-09-11

Gallup Korea · week of 2026-09-18

42% since Aug 25-27 ↓ 37% across 4 readings

Democratic

39%

People Power

25%

26%

Gallup Korea Spotlight week of September 18, 2026

Lee Jae-myung approval at new low: President Lee Jae-myung's approval rating fell to a new low of 37% this week, per Yonhap reporting on a fresh Gallup Korea poll, down from 38% the prior week and below his previous low of 42% recorded in August.

Discourse: Civil society groups welcomed Lee's 'no reelection via constitutional revision' statement at his press conference but criticized his open door to a non-combat Hormuz contribution as a 'roundabout deployment' (경향신문, Sep 18).

• UPCOMING

Oct
1

ROK Armed Forces Day (국군의 날)

Also the anniversary of the ROK-US Mutual Defense Treaty, signed in Washington on 1 October 1953. Recent years have brought a parade through central Seoul and new systems shown publicly; alliance statements from both capitals usually land the same day.

Oct
3

National Foundation Day (개천절)

Public holiday: KRX closed, ministries dark, no Assembly business. Expect a thin domestic news flow and few primary-source releases.

Oct
9

Hangul Day (한글날)

Public holiday: KRX closed, ministries dark. Falling within a week of 개천절, the two often bracket a slow stretch for government news.

Oct
10

Workers' Party founding day

The party was founded on this date in 1945. Decennial anniversaries have brought large Kim Il Sung Square parades and new systems shown in public for the first time; watch pre-event imagery for assembly.

• THE WIRE

DPRK

YONHAP ENGLISH

NK nuclear test may have triggered over 1,300 earthquakes near test site: report

A new report finds nearly 1,400 seismic events near Punggye-ri linked to DPRK nuclear testing, as the site remains at test-ready status during the post-anniversary watch period.

BUSINESS

BLOOMBERG

Citi's Korea trading head says buy won near 1,400 per dollar

Citi's Korea desk recommends long KRW positions near the 1,400 level, with the won slightly weakened after the Bank of Japan's expected rate hike.

• ANALYSIS

OFFICIALS ON X

US Embassy Seoul @USEmbassySeoul

“The Multinational Sanctions Monitoring Team's third report exposes North Korea's illegal overseas labor dispatch evading UN sanctions and highlights that North Korea is funding its weapons programs through forced labor. The US and like-minded countries will continue efforts to hold North Korea accountable.”

Context: Posted as the WSJ reported DPRK women being deployed to Russian factories; MSMT report is the third in its series on DPRK sanctions evasion.

[View on X →](#)

Commander UNC/CFC/USFK @CDRUNCCFCUSFK

“Honored to join Ambassador Steel, Secretary Rice, and Korean War veterans at the FKI Freedom 250 Dinner marking America's 250th anniversary. We celebrated what our nations share and defend together: freedom. To the veterans who secured it: thank you.”

Context: USFK Commander's attendance alongside the US Ambassador and Secretary Rice at the FKI Freedom 250 event signals a unified alliance-solidarity message the day before FM Cho's Rubio meeting.

[View on X →](#)

Direct posts by tracked official accounts, attributed as posted. Not independently verified beyond the post.



Lee Jae-myung
ROK President

“South Korea is continuing behind-the-scenes coordination to help create an opening for dialogue between the US and North Korea. The possibility of a Kim-Trump summit cannot be ruled out.”

Analyst: Lee acknowledged that North Korea is 'clearly refusing' to communicate with Seoul directly while asserting Seoul is coordinating with Washington; statement comes as DPRK Vice FM Kim Son-gyong heads to UNGA next week.

[Source →](#)



Michelle Steel
US Ambassador to the Republic of Korea

“The US-ROK alliance remains the linchpin of peace on the Korean Peninsula.”

Analyst: Statement delivered at the FKI Freedom 250 Dinner on Sep 18, attended by USFK Commander and Korean War veterans, one day before FM Cho meets Secretary Rubio in Washington.

[Source →](#)

COMMENTARY

NK PRO

North Korea hides missile launch from civilian populace as officials lambast US

NK Pro's state media review documents that KCNA published Kim Yo Jong's consecutive statements and a Defense Ministry nuclear-response warning for external audiences while keeping domestic media silent on the September 12 missile launches. The pattern shows Pyongyang calibrating its signaling to foreign governments while managing internal perceptions separately.

KEIA

Delayed 2025 Human Rights Report Again Downplays North Korea's Egregious Human Rights Violations

KEIA argues the State Department's 2025 report on North Korea continued a pattern of minimizing documentation of abuses, arriving late and with diluted language compared to independent assessments. The critique is timely as DPRK Vice FM Kim Son-gyong heads to UNGA next week.

• SATELLITE & LOCATION WATCH

3 of 11 sites at elevated or alert status

NK NEWS · SEP 18 — DPRK URBAN COMBAT TRAINING FACILITIES — EXPANSION CONFIRMED

North Korea upgrading urban combat training facilities, satellite imagery shows

Satellite imagery analysis published by NK News shows North Korea has been upgrading its urban warfare training infrastructure. The expansion is assessed in the context of DPRK troops' active deployment in Russia, where urban combat experience in Ukraine is directly applicable. Military Watch Magazine separately noted the upgrade alongside ongoing army reinforcement operations in Russia.

→ Vostochny/Dunai (Russian Far East)

NK News ↗

ELEVATED ▲

Yongbyon Nuclear Complex

IAEA confirmed North Korea built a new uranium enrichment facility at Yongbyon (Reuters/CNN, Sep 9-10, 2026), assessed capable of producing material for up to four additional warheads annually (조선일보). Russia dismissed the IAEA report at the Vienna session, citing lack of access. Apr 2026: Enrichment building expansion complete, new centrifuge hall operational. 5 MWe reactor and IRT-2000 both running. Thermal signatures consistent with increased plutonium/HEU production.

imagery as of 2026-09-10

ACTIVITY ▲

Punggye-ri Nuclear Test Site

Nov 2025: ROK DIA assessed Tunnel No. 3 is test-ready and a nuclear test can be conducted at any time upon political decision. Site maintained at high readiness since mid-2024. Sep 9, 2016 fifth nuclear test 10-year anniversary fell three days ago; post-anniversary period historically carries elevated test risk. CNN/Yonhap reported Sep 18 that nearly 1,400 seismic events have been detected near the site since the 2017 test.

imagery as of 2026-09-18

ALERT ▲

Tumangang-Khasan (NK-Russia border)

Sep 8, 2026: The first road bridge over the Tumen River between North Korea and Russia was formally opened at a ceremony attended by Russian PM Mikhail Mishustin; the bridge is named after Soviet officer Yakov Novichenko. This constitutes a new permanent road link across

ACTIVITY ▲

Sinuiju-Dandong (NK-China border)

Sep 11, 2026: 38 North satellite imagery analysis shows the new North Korea-China border crossing (new Yalu River Bridge) appears close to opening. Mar 12, 2026: Cross-border passenger train service resumed between Sinuiju and Dandong after COVID-era suspension. NBC News analysis (Sep

the shared border, the first of its kind. NK News reporting confirms North Korea remains closed to private car travel via the bridge; crossings are limited to organized bus tours per the Association of Tour Operators of Russia (ATOR). NBC News analysis (Sep 15) frames the bridge alongside the near-complete Sinuiju-Dandong crossing as dual infrastructure bets by Pyongyang.

imagery as of 2026-09-15

15) cites both crossings as signals of North Korea deepening ties with both Russia and China simultaneously.

imagery as of 2026-09-15

ACTIVITY ▲

Vostochny/Dunai (Russian Far East)

Jan 2026: Arms shipments slowed due to ice — one Russian vessel (likely Angara or Lady R) visited Rason, docked Jan 14 at arms export berth. Cargo routed to Vostochny. Since Sep 2023: 64 voyages by 4 vessels (Angara, Maria, Maya-1, Lady R) delivered ~15,800 containers (~4.2-5.8M munitions) from Rajin to Vostochny/Dunai. Road bridge now open Sep 8, 2026, providing first permanent road route to supplement existing rail. NK News satellite imagery (Sep 18) shows ongoing upgrades to DPRK urban warfare training facilities consistent with troops rotating back from Russia.

imagery as of 2026-09-18

6 other monitored sites: no new imagery in the last 30 days · oldest report 2025-05.

CSIS

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